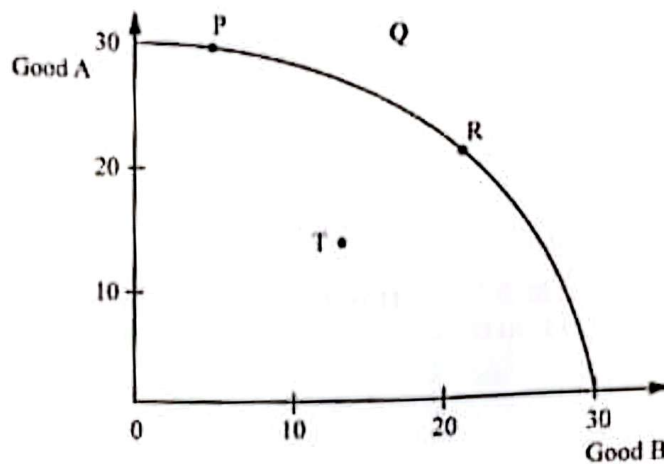
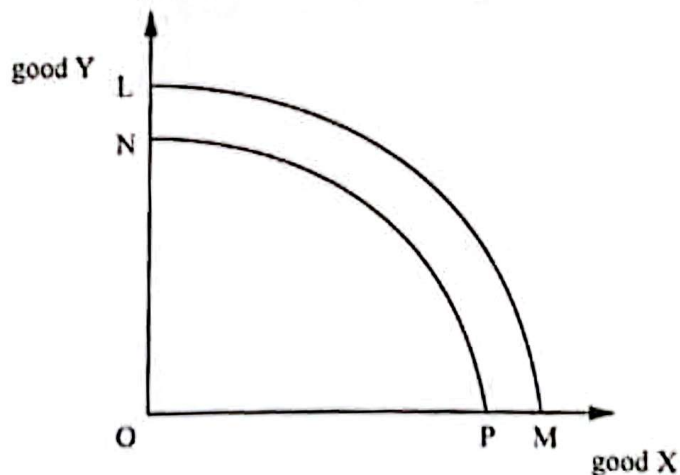


- 1 The diagram below is a production possibility curve of a country.



Which point illustrates scarcity on the diagram above?

- A point P
 - B point Q
 - C point T
 - D point R
- 2 The diagram below shows production possibility curves of a country.



Which of the following causes the shift of the curve from LM to NP?

- A technological progress
- B under-utilisation of resources
- C the depletion of natural resources
- D a reallocation of resources



- 3 The effect of an appreciation of the South African rand against the Zimbabwean dollar is that
- A rand will be overvalued.
 - B the South African exports to Zimbabwe become cheaper.
 - C the Zimbabwe exports to South Africa will become cheaper.
 - D South African rand becomes cheaper.
- 4 Raising interest rates reduce aggregate demand in an economy. The policy measure described above is an example of
- A a deflationary fiscal policy.
 - B a contractionary monetary policy.
 - C an expansionary fiscal policy.
 - D an expansionary monetary policy.
- 5 During a year, there has been a rise in national income of 7% and a rise in the retail price index of 4%. There is no change in population. What is the change in real income per head?
- A -3%
 - B 4%
 - C 3%
 - D 11%
- 6 One of the effects of inflation is that the phenomenon
- A causes creditors to benefit at the expense of debtors.
 - B causes debtors to benefit at the expense of creditors.
 - C causes households to postpone consumption.
 - D encourages people to increase savings.
- 7 Devaluation of domestic currency in the short run has an effect of
- A decreasing the price of imports.
 - B decreasing the volume of exports.
 - C improves the terms of trade.
 - D worsening the balance of payments.

- 8 The unemployment rate is 5%. The labour force is 100 million and population is 200 million.

Calculate the number of people unemployed.

- A 2 million
- B 5 million
- C 10 million
- D 500 million

$$\begin{array}{r} 200 \\ - 100 \\ \hline 100 \end{array} \quad \begin{array}{r} 2 \\ - 1 \\ \hline 1 \end{array} \quad \begin{array}{r} 200 \\ - 100 \\ \hline 100 \end{array}$$

- 9 Given that nominal GDP increased by 4%, prices increased by 3% and population decreased by 2%, the real income per capita increased by

- A 3%.
- B 4%.
- C 5%.
- D 9%.

- 10 Weights are used in calculating the consumer price index to reflect the different

- A levels of prices for each good.
- B number of consumers buying a product.
- C rate of change in price of each good over time.
- D amount of money spent on goods in the consumer basket.

- 11 All the following are variables in the measurement of economic development **except**

- A Human Development Index.
- B Gross Domestic Product.
- C Human Poverty Index.
- D Retail Price Index.

- 12 Which of the following is a direct measure to control inflation?

- A Setting pay limits for workers in civil service.
- B Allowing the exchange rate to appreciate.
- C Cutting government subsidies to farmers.
- D Raising interest rates.

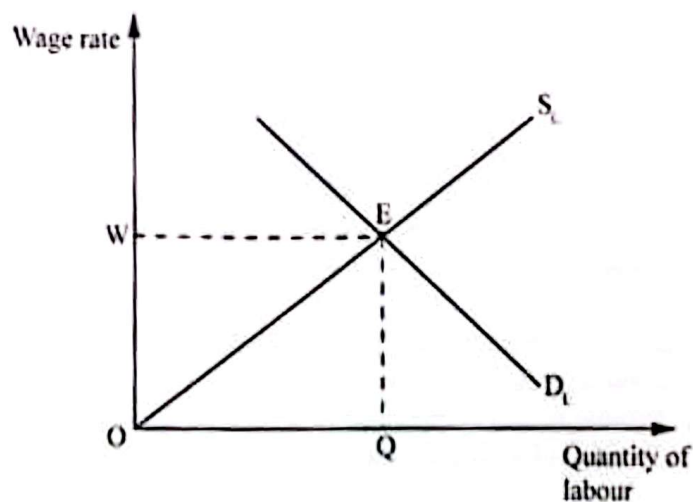
- 13 A fiscal policy measure to reduce unemployment is to

- A increase the size of the budget deficit.
- B boost the money supply by relaxing credit controls.
- C reduce interest rates.
- D increase direct taxes.



- 14 Which one of the following measure reduces structural unemployment?
- A An increase in the interest rates in the economy.
 - B A reduction in level of direct taxation.
 - C A reduction in level of indirect taxes.
 - D An increase in subsidies to producers.
- 15 Which of the following is an injection into the circular flow of income?
- A Imports.
 - B Exports.
 - C Savings.
 - D Direct taxation.
- 16 A household has a disposable income of \$240 and spends \$180. Calculate the average propensity to save.
- A 0.25
 - B 0.50
 - C 0.75
 - D 0.80
- 17 Real national income is
- A national income net of all tax payments.
 - B national income expressed at current market prices.
 - C the value of assets owned by the country's citizens.
 - D the monetary value of national income measured at constant prices.
- 18 The short run effect of the removal of import tariffs is an
- A increase in the cost of living.
 - B improvement in the external terms of trade.
 - C improvement in the barter terms of trade.
 - D increase in the level of domestic employment.
- 19 Optimal resource allocation in an economy is achieved when
- A $SBM > SMC$.
 - B $SMC > SMB$.
 - C $SMC = SMB$.
 - D $SMB + SMC < 1$.

- 20 Japan has comparative advantage over Zimbabwe in the production of cars if
- A Japan produces more cars than Zimbabwe.
 - B the opportunity cost of car production is lower in Japan than in Zimbabwe.
 - C the opportunity cost of car production is lower in Zimbabwe than in Japan.
 - D the variable costs of car production is lower in Zimbabwe than in Japan.
- 21 The requirement for tobacco farmers to destroy tobacco stalk to control diseases reduces
- A primary products.
 - B unmarketed goods.
 - C negative externality.
 - D positive externality.
- 22 The graph below shows the demand and supply of labour



Triangle WEO represented

- A economic rent.
 - B minimum wage.
 - C maximum wage.
 - D transfer earnings.
- 23 In a perfectly competitive labour market, all earnings are
- A economic rent only.
 - B transfer earnings only.
 - C transfer payments only.
 - D both economic rent and transfer earnings.



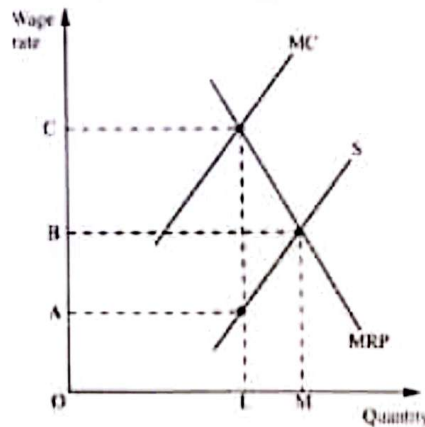
- 24 The following table relates to the firm's total costs at different production levels.

Quantity	Total Costs
0	\$148
1	\$166
2	\$182
3	\$196
4	\$208
5	\$222
6	\$238

The firm's total fixed costs at the 4th unit of output is

- A \$112.
B \$127.
C \$148.
D \$208.

- 25 The diagram below shows a monopsonist in the labour market.



Monopsonist employs

	Wage	Labour
A	OC	OL.
B	OB	OL.
C	OA	OL.
D	OC	OM.

- 26 Which of the following is a pure public good?

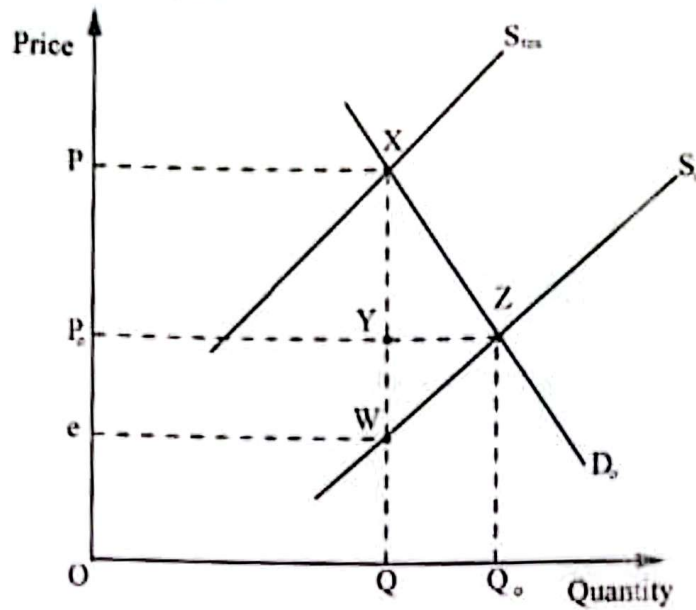
- A defence
B education
C medical care
D postal services

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[Turn over

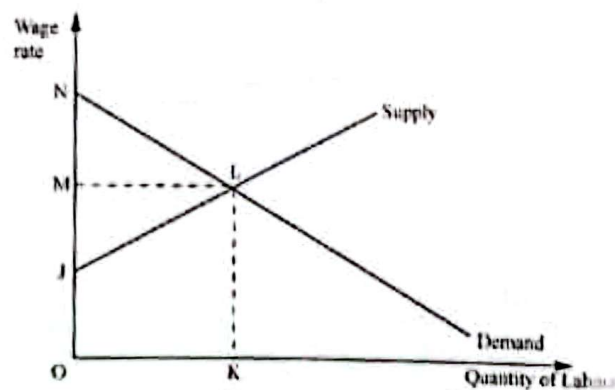


- 27 The diagram below shows supply and demand curves for a product.



The government imposes a tax on a product, the tax burden paid by the consumer is

- A XYZ.
 B XWZ.
 C PXYP₀.
 D PoYWe.
- 28 On the diagram below, which areas show economic rent and transfer earnings received by employees.



	Economic rent	Transfer earnings
A	JOLN	OKLJ
B	JML	OKLJ
C	NML	OKLM
D	OKLM	NML

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- 29 One disadvantage of using mean as a measure of central tendency is that it is
- A rigidly defined.
 - B affected by extreme values.
 - C easy to understand and calculate.
 - D based upon all values of the given data.
- 30 Limited liability clause is applicable to all of the following business organisations except
- A sole trader.
 - B public corporation.
 - C private limited company.
 - D public limited company.
- 31 What is a merit good?
- A A good that is made available to consumers according to merit.
 - B A good where any benefit obtained by one consumer is extended to all consumers.
 - C A good where the private benefits of consuming the good exceed its social benefits.
 - D A good that the government believes consumers will consume too little if it is provided by private firms at market rates.
- 32 Labour is
- A all God given natural resources.
 - B the man made resources.
 - C the human physical and mental effort.
 - D the human physical and mental effort of skilled people only.
- 33 The firm sells 200 units at \$10 each, To sell the 201 unit the firm reduces the price to \$9.
- Calculate the marginal revenue.
- Handwritten calculations:
- $$\begin{array}{r}
 200 \times 10 = 2000 \\
 201 \times 9 = 1809 \\
 \hline
 2000 - 1809 = 191
 \end{array}$$
- A \$9
 - B \$191
 - C \$1 809
 - D \$2 009
- 34 What is the return to "organization"?
- A rent
 - B wages
 - C profit
 - D interest



- 35 What is the equilibrium quantity and price if there is improvement in technology and a rise in price of the good's substitute?

	Quantity	Price
A	increases	increases
B	increases	decreases
C	indeterminate	increases
D	increases	indeterminate

- 36 The following are demand and supply functions respectively.

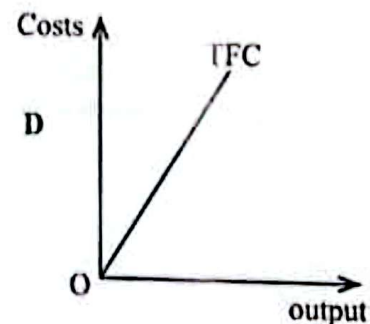
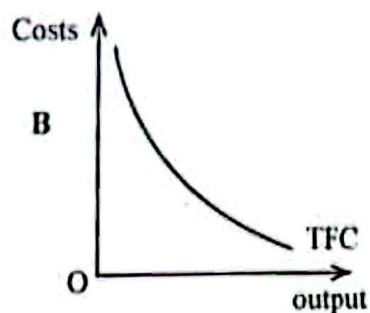
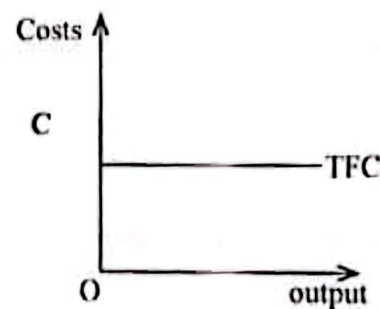
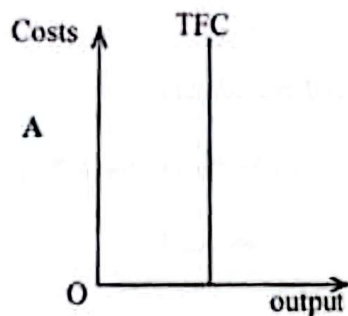
$$P = 25 - Q_d \text{ and}$$

$$P = 0.5Q_s + 10$$

What is the equilibrium quantity and price?

	Quantity	Price (\$)
A	10	15
B	15	10
C	45	70
D	70	45

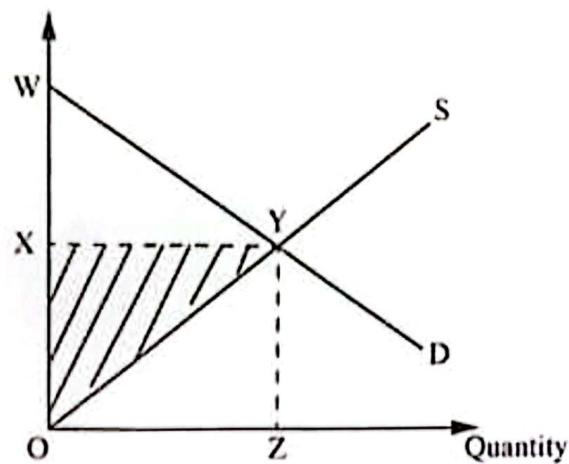
- 37 Which one of the following diagrams A, B, C or D shows the relationship between a firm's total fixed costs [TFC] and its level of output?



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- 38 The diagram below shows the demand and supply curves for a commodity.



The shaded area OXY represents

- A consumer's surplus.
 - B economic rent.
 - C producer's surplus.
 - D transfer earnings.
- 39 For an inferior good
- A income effect is equal to substitution effect.
 - B income and substitution effects reinforce each other.
 - C income effect is negative while substitution effect is positive.
 - D income effect is positive while substitution effect is negative.
- 40 Marginal utility of good X is given as MU_X and of good Y is MU_Y with prices P_X and P_Y respectively. Utility is maximized when
- A $\frac{MU_X}{P_X} = \frac{MU_Y}{P_Y}$.
 - B $\frac{MU_X}{P_Y} = \frac{MU_Y}{P_X}$.
 - C $\frac{MU_X}{MU_Y} = \frac{P_Y}{P_X}$.
 - D $\frac{MU_Y}{MU_X} = \frac{P_X}{P_Y}$.

